

Mark Scheme (Results)

Predicted Paper (MODERATE)

Pearson Edexcel Level 3 Advanced GCE
in Economics B (9EB0)
Paper 01 Markets and how they work

General Marking Guidance

- All candidates must receive the same treatment. Examiners must mark the first candidate in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than penalised for omissions.
- Examiners should mark according to the mark scheme not according to their perception of where the grade boundaries may lie.
- There is no ceiling on achievement. All marks on the mark scheme should be used appropriately.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved, i.e. if the answer matches the mark scheme. Examiners should also be prepared to award zero marks if the candidate's response is not worthy of credit according to the mark scheme.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification may be limited.
- When examiners are in doubt regarding the application of the mark scheme to a candidate's response, the team leader must be consulted.
- Crossed out work should be marked UNLESS the candidate has replaced it with an alternative response.

Section A

Question Number		Mark
1 (a)	Knowledge/Understanding 1, Application 3 Knowledge/Understanding: 1 mark for formula $\text{Operating profit margin} = (\text{Operating profit} \div \text{Revenue}) \times 100$ (1) Application: Up to 3 marks for calculations $\text{Operating profit 2022} = 240 \times 115\% = \text{£}276\text{m}$ (1) $(276 \div 1,880) \times 100$ (1) $= 14.68\%$ (1) NB if no working is shown: 14.68% = 4 marks; 14.68 = 3 marks.	(4)

Question Number		Mark
1 (b)	Knowledge/Understanding 1, Application 3 Knowledge/Understanding: 1 mark for formula $((\text{Current price} - \text{Original price}) \div \text{Original price}) \times 100$ (1) Application: Up to 3 marks for calculations $\text{Difference} = 502.40 - 395.20 = 107.20$ (1) $107.20 \div 395.20$ (1) $= 27.13\%$ (1) NB if no working is shown: 27.13% = 4 marks; 27.13 = 3 marks.	(4)

Question Number		Mark
1 (c)	Knowledge/Understanding 2, Application 1, Analysis 1 Knowledge/Understanding: up to 2 marks for - correctly constructing supply and demand curves and labelling the axes with price and quantity (1) - showing original equilibrium price and quantity P_1 and Q_1 (1). Application: 1 mark for correctly interpreting the shift in the demand curve to the LEFT for traditional fast food (reflecting the change in tastes toward healthier / plant-based options — Extracts A and C). Analysis: 1 mark is available for showing new equilibrium and consequences on the quantity and price axes P_2 and Q_2 (both lower).	(4)

Question Number		Mark
	<i>Accept alternative correct interpretation if candidate argues demand shifts right (e.g. introduction of plant-based menu items increases overall demand) provided reasoning is coherent and shifts are labelled.</i>	

Question Number		Mark
1 (d)	Knowledge/Understanding 2, Application 2, Analysis 2 Knowledge/Understanding: up to 2 marks for • Identification of market structure — Oligopoly (1) • Identification of a valid pricing strategy (1), e.g. price leadership, limit pricing, price matching Application: up to 2 marks for • McDonald's, KFC and Burger King dominant with $1,450 + 980 + 530 = 2,960$ branded outlets (1) • These three alone exceed the combined total of several smaller rivals, indicating concentrated market share (1) Analysis: up to 2 marks for • Oligopolies tend not to compete on price due to the kinked demand curve / fear of price wars (1) • Pricing strategy is therefore likely to be similar across rivals — e.g. prices of standard meal deals tend to cluster within a narrow range (1)	(6)

Question Number		Mark
1 (e)	Knowledge/Understanding 2, Application 2, Analysis 2, Evaluation 2 Indicative content Candidates do not need to include all of these: • Profit maximisation (MC=MR) maximises short-run returns to owners — important for a growing independent chain needing reinvestment. • Profit is essential for Honest Burgers to fund expansion — the chain is still small (45 sites) vs. McDonald's 1,450 and needs retained profit. • Profit signals success to banks and investors, easing access to finance for further sites. • However, profit maximisation may conflict with the brand identity — Honest Burgers' values (locally-sourced British beef, seasonal menus) depend on higher-cost suppliers. • Sales revenue maximisation or sales volume may be preferred — growing the customer base in a crowded market is critical for long-term survival. • Social/ethical objectives — the founder's statement about supporting local producers suggests a stakeholder approach rather than pure profit focus.	(8)

Question Number		Mark
	- Satisficing may be more realistic — achieving acceptable profit while pursuing other goals (reputation, quality, staff pay). - Survival may matter most in the short term given rising input costs (Extract D: beef +27% in 2022) and higher wage costs. - Brand building / differentiation may be the dominant objective — in monopolistic competition it is essential to maintain a distinctive position.	
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are developed. Judgements may be attempted.
Level 3	6–8	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen. Arguments are developed, using logical, coherent chains of reasoning. A balanced awareness of competing arguments.

Demonstrating application (AO2) in responses: Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus and may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Question Number		Mark
1 (f)	Knowledge/Understanding 2, Application 2, Analysis 3, Evaluation 3 Indicative content - Higher input costs — beef rose 27.13% over 2022 — shift the firm's cost curves (AC, MC) upward, putting pressure on margins. - If costs are passed on, menu prices rise. In a competitive oligopoly, firms may follow each other to avoid being undercut (price leadership). - Firms facing price-inelastic demand (strong brand loyalty e.g. McDonald's) can pass cost rises through with smaller loss of sales. - Price-elastic demand in competitive segments (e.g. budget burger offers) limits ability to raise prices — firms may absorb cost rises, reducing profit margins. - Firms may reformulate products (smaller portions, shrinkflation, cheaper ingredients) rather than raise headline prices. - Beef is only one input. Labour (minimum wage rises), energy, rent and packaging are also significant costs. A 27% rise in beef may translate into a much smaller rise in menu prices. - Independent operators like Honest Burgers who insist on British beef are more exposed to domestic price rises and may raise prices further than mainstream chains who can substitute toward cheaper supply. - Long-term supply contracts / hedging may delay the impact — short-term prices may not reflect wholesale price changes for several months.	(10)

Question Number		Mark
	Consumer cost-of-living pressures may constrain pricing power even where costs rise — firms that raise prices too much may lose market share.	
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–4	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	5–7	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, well developed with arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	8–10	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

Demonstrating application (AO2) in responses: Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus and may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Question Number		Mark
1 (g)	Knowledge/Understanding 2, Application 2, Analysis 4, Evaluation 4 Indicative content - Non-price competition (advertising, brand loyalty, product differentiation, loyalty apps, quality, speed of service) is central in oligopolies where price rigidity is common. - Major chains (McDonald's, KFC, Burger King) spend heavily on advertising to reinforce brand recall. - Product innovation (McPlant, KFC vegan burger, Burger King plant-based options) is critical as consumer tastes shift toward healthier and plant-based options. - Loyalty schemes (e.g. McDonald's app, Greggs Rewards, Pret Subscription) build switching costs and repeat visits. - Drive-thru expansion and delivery partnerships (Deliveroo, Uber Eats) are forms of service-based differentiation. - Store design and ambience — Pret, Leon and Honest Burgers use distinctive interiors to attract target customers. - Ethical and sourcing claims (British beef, locally sourced) are differentiators used by smaller chains — a key form of non-price competition in a crowded segment. - Evaluation: the importance of non-price competition varies by segment. Budget takeaway is more price-competitive; premium	(12)

Question Number		Mark
	casual (Five Guys, Honest Burgers) is dominated by non-price factors. • Non-price competition can be expensive — heavy advertising budgets are a significant barrier to entry for smaller firms. • Short-term price promotions (McDonald's value menu, KFC £1.99 offers) still play a role — non-price competition does not eliminate price competition altogether. • Overall: non-price competition is very important in UK fast food because of oligopolistic price stickiness and rising consumer concern about quality and health.	
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	6–9	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, well developed with arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	10–12	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

Demonstrating application (AO2) in responses: Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus and may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Question Number		Mark
1 (h)	Knowledge/Understanding 2, Application 2, Analysis 4, Evaluation 4 Indicative content • A contestable market has freedom of entry and exit and low sunk costs; the threat of entry disciplines incumbents. • Evidence of contestability — 312 new outlets in 2022; independents like Honest Burgers and Leon expanding successfully. • Growth of dark kitchens lowers entry costs — no need for a prominent high-street site. • Delivery platforms (Deliveroo, Uber Eats) reduce the need for large marketing budgets — new entrants reach customers easily. • Low technology requirements for a single-site operator — equipment is standard and readily available. • However, brand loyalty to McDonald's, KFC and others is a significant barrier — 1,450 McDonald's outlets create very strong presence and	(12)

Question Number		Mark
	customer habit. • Economies of scale — large chains can purchase ingredients, advertising and property on better terms than new entrants (natural barrier). • High rent in prime urban locations creates substantial sunk costs — fit-out, equipment and branding cannot be easily recovered on exit. • Regulatory barriers — new HFSS rules, planning restrictions near schools, food hygiene regulation — increase costs of entry. • Franchising limits true contestability — many 'new' McDonald's sites are existing franchisees expanding, not genuine new entrants. • Evaluation: the market is more contestable at the low-cost / independent end (single sites, delivery-only) than at the large-chain level where scale advantages dominate. • Overall the UK fast food market shows partial contestability — easier than most oligopoly markets to enter, but very difficult to scale up to compete with incumbents.	

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	6–9	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, well developed with arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	10–12	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

Demonstrating application (AO2) in responses: Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus and may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Section B

Question Number		Mark
2	Knowledge/Understanding 4, Application 4, Analysis 6, Evaluation 6 Indicative content • Rising minimum wages increase household disposable income — with a high marginal propensity to consume among low-income workers, this raises AD and supports growth in retail, hospitality and other sectors. • Increased consumer spending may boost firms' revenues and profits, enabling reinvestment and job creation in the medium term. • Reduced income inequality — narrower wage distribution and lower in-work poverty, reducing reliance on in-work benefits (Universal Credit). • Higher wages can improve worker productivity through greater motivation, lower turnover and reduced absenteeism ('efficiency wage' effects). • Tax revenues rise as more earnings enter the income tax and NI base, supporting government finances. • However, 9.7% is a large one-off rise and pushes firms' wage bills up sharply — some may respond by reducing hours, freezing recruitment or automating tasks. • Cost-push inflation — labour is a major input, especially in hospitality; higher wages may be passed on as higher prices, offsetting real wage gains. • Small businesses already squeezed by energy costs and food inflation (as noted in the extract) may be unable to absorb the rise, risking closures. • Regional impact — in lower-wage regions (North East, Wales) more workers are affected, so both benefits (spending) and costs (firm closures) are concentrated there. • Potential substitution effect — rising labour costs accelerate investment in self-service kiosks, AI-powered ordering systems, and automated warehouses, displacing low-skilled workers. • Evaluation — impact depends on elasticity of demand for labour in affected sectors; in hospitality (labour-intensive, limited substitutability) the cost pass-through to prices is likely larger than in retail. • Time lag — firms may absorb costs in the short run, adjust in the medium run, and only fully react (through pricing / hiring / automation decisions) in the long run. • Monopsony argument — in labour markets with few employers (e.g. care homes in small towns), minimum wages can raise employment by moving pay from the monopsony level toward the competitive level. • Overall, the impact depends on the size of the rise, the structure of the affected industries, the state of the macroeconomy, and how monetary policy responds.	(20)
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted,

Question Number		Mark
		but fail to connect causes and consequences. Limited attempt to address the question.
Level 2	5–9	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented, but connections between causes and consequences are incomplete. Limited attempt to address the question. Comparisons, judgements or conclusions may be attempted, but are unsupported or generic.
Level 3	10–15	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, developed chains of reasoning, showing understanding of connections between causes and consequences. Arguments are well developed and competing arguments are present although this may lack balance. A conclusion may be attempted but may not show awareness of the significance of competing arguments.
Level 4	16–20	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen and fully integrated to support the argument, well developed and logical, coherent chains of reasoning, showing full understanding of the question. Arguments are fully developed and evaluated. A full awareness of the validity and significance of competing arguments, leading to nuanced and balanced comparisons, judgements or conclusions.

Demonstrating application (AO2) in responses: Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus and may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Section C

Question Number		Mark
3	Knowledge/Understanding 4, Application 4, Analysis 6, Evaluation 6 Indicative content - Regulation and taxation on HFSS and sugary products aim to correct a market failure — overconsumption generates negative externalities (NHS costs of £6.5bn p.a. due to obesity-related illness). - The SDIL has already reduced the average sugar content of soft drinks by 43.7%, showing regulation can drive product reformulation — a welfare gain through lower consumption of demerit goods. - Revenue from the levy (£336m in year one) funds school sports and public health programmes, a double dividend. - Placement and advertising restrictions reduce exposure of children to HFSS foods, supporting long-term health outcomes and potentially reducing future NHS costs. - Consumer welfare can improve where imperfect information is corrected (nutrition labels, calorie displays). - However, sugar and fat taxes are regressive — lower-income households spend a higher proportion of income on affected goods, so the policy may widen inequality. - Producers may absorb costs or reformulate, so the consumer impact and effectiveness of the policy is uncertain. - Regulation imposes compliance costs on firms — small independent operators (as noted by the British Takeaway Campaign) may be disproportionately affected, reducing consumer choice and competition. - Risk of unintended consequences — consumers may switch to alternative unhealthy foods not covered by the rules; firms may shrink pack sizes but maintain calorie content. - Government failure risks — regulations may be poorly designed, enforcement may be inconsistent, and lobbying by industry may weaken policy. - Evaluation — effectiveness depends on the price elasticity of demand for targeted products (short-run inelastic; long-run more elastic as habits change). - Evaluation — voluntary reformulation (the Sugar Reduction Programme) has been less successful than the tax-based SDIL, suggesting mandatory measures are more effective. - Alternative policies — subsidies on fruit and vegetables, education, and investment in NHS preventive services may be more progressive and have fewer compliance costs. - Overall, regulation likely produces a net welfare gain in a market where externalities are large and information is imperfect, but the distributional costs and compliance burden need careful design.	(20)
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted, but fail to connect causes and consequences. Limited attempt to address the question.

Question Number			Mark
Level 2	5–9	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented, but connections between causes and consequences are incomplete. Limited attempt to address the question. Comparisons, judgements or conclusions may be attempted, but are unsupported or generic.	
Level 3	10–15	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, developed chains of reasoning, showing understanding of connections between causes and consequences. Arguments are well developed and competing arguments are present although this may lack balance. A conclusion may be attempted but may not show awareness of the significance of competing arguments.	
Level 4	16–20	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen and fully integrated to support the argument, well developed and logical, coherent chains of reasoning, showing full understanding of the question. Arguments are fully developed and evaluated. A full awareness of the validity and significance of competing arguments, leading to nuanced and balanced comparisons, judgements or conclusions.	

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